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2.2 Aggregate Supply, National Income and Macroeconomic Policy

Short-Run Aggregate Supply (SRAS)

Short-Run Aggregate Supply (SRAS) shows the total output that all firms in the economy are willing and able to supply at each price level in the short run, when at least one factor of production (typically capital) is fixed.

Why SRAS Slopes Upward

In the short run, some costs are **sticky** (e.g. wages fixed by contracts, rent agreements). When the price level rises:

- Firms receive higher revenues for their output while many costs remain fixed
- Profit margins increase, making it profitable to expand output
- Firms hire more workers and use capacity more intensively

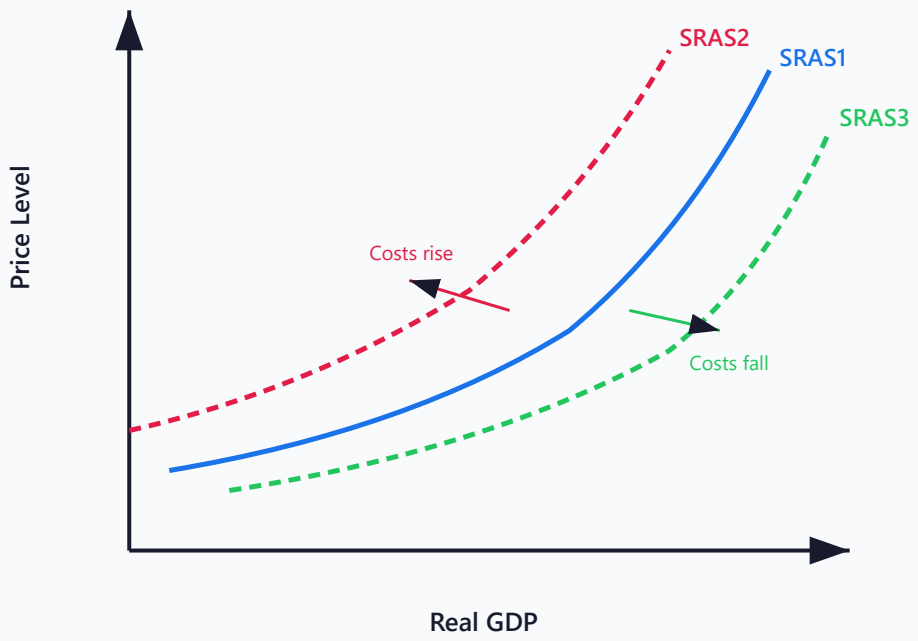
Therefore, a higher price level leads to a greater quantity of output supplied in the short run.

Shifts of the SRAS Curve

SRAS shifts when the **costs of production** change at every price level:

Factor	SRAS shifts left (decrease)	SRAS shifts right (increase)
Wage rates	Wages rise above productivity	Wages fall or grow slower than productivity
Raw material / energy costs	Oil price spike, commodity price rise	Falling commodity prices, cheaper energy

Indirect taxes	VAT increase, new duties	VAT cut, removal of duties
Subsidies	Subsidies removed	New subsidies to producers
Exchange rate	Depreciation (imports costlier)	Appreciation (imports cheaper)
Productivity	Falling productivity	Rising productivity (same input, more output)
Supply chain disruptions	Bottlenecks, shortages	Efficient logistics, improved supply chains



Shifts of SRAS: rising costs shift SRAS left (SRAS1 to SRAS2), falling costs shift SRAS right (SRAS1 to SRAS3).

Long-Run Aggregate Supply (LRAS)

The Classical (Monetarist) View

Classical LRAS is vertical at the full employment level of output (Yfe). In the long run, output is determined solely by the quantity and quality of factors of production, not by the price level.

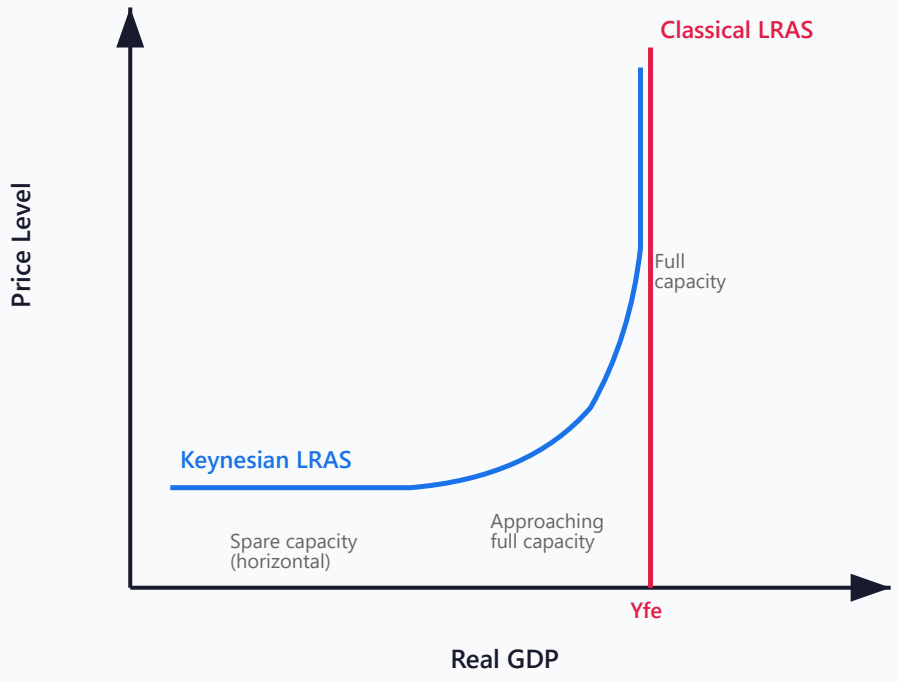
> Changes in AD only affect the price level in the long run, not real output.

The logic: in the long run, all factor prices (including wages) adjust fully to changes in the price level. If AD rises, prices rise, but eventually wages rise proportionally, so firms have no incentive to produce more than the full employment level.

The Keynesian View

> **Keynesian LRAS** has three distinct sections, reflecting the idea that the economy can settle below full employment for extended periods:

- **Horizontal (elastic) section** — at low levels of output with high spare capacity. AD increases raise output without any inflation. Workers accept jobs at current wages; firms have unused capacity.
- **Upward-sloping section** — as the economy approaches full capacity, bottlenecks emerge in some industries. Increasing AD raises both output and the price level. Diminishing returns set in as less efficient resources are employed.
- **Vertical section** — at full employment (Yfe). The economy cannot produce more. Further increases in AD cause only inflation — similar to the classical view at this point.



Classical LRAS is vertical at Yfe. Keynesian LRAS has a horizontal section (spare capacity), upward-sloping section (bottlenecks), and vertical section (full employment).

Evaluation — Classical vs Keynesian: The classical view implies that free markets self-correct and government intervention is unnecessary (or even harmful) in the long run. The Keynesian view argues that the economy can become stuck below full employment (e.g. in a liquidity trap or when there is deficient demand), justifying active government policy. In practice, most economists accept elements of both: markets do tend towards equilibrium over time, but the adjustment process can be slow and painful, and policy can help speed recovery.

Shifts of LRAS

LRAS shifts right when the economy's **productive capacity** increases:

Factor	How it shifts LRAS right
Technological innovation	New technologies allow more output from the same inputs (e.g. AI, automation, robotics)
Increase in labour supply	Immigration, rising participation rate, population growth
Improved quality of labour	Better education, training, health — raises human capital and productivity
Increased capital stock	Higher investment in machinery, infrastructure, IT systems
Discovery of new resources	Finding new oil/gas reserves, developing renewable energy sources
Institutional improvements	Stronger property rights, less corruption, deregulation, better governance
Enterprise and competition	More start-ups, greater competitive pressure drives efficiency

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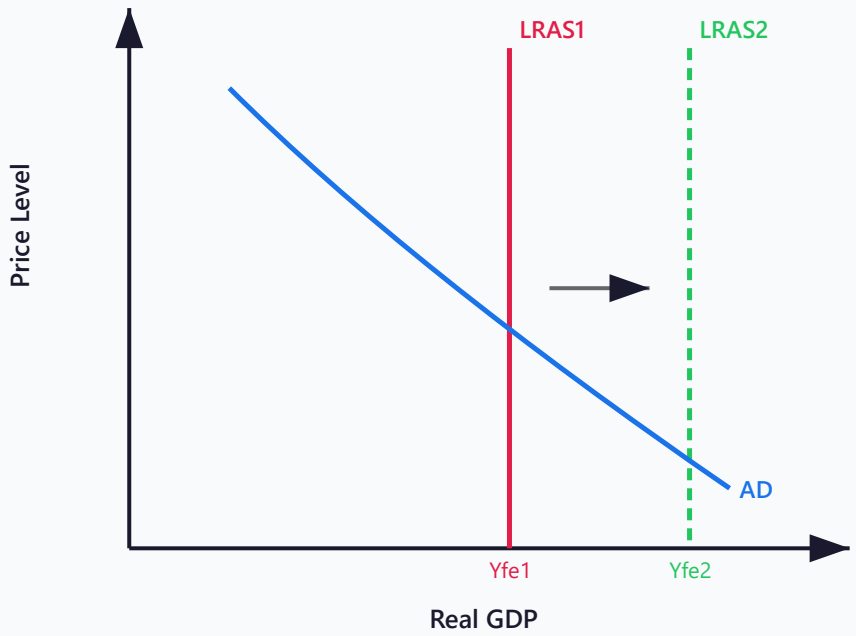
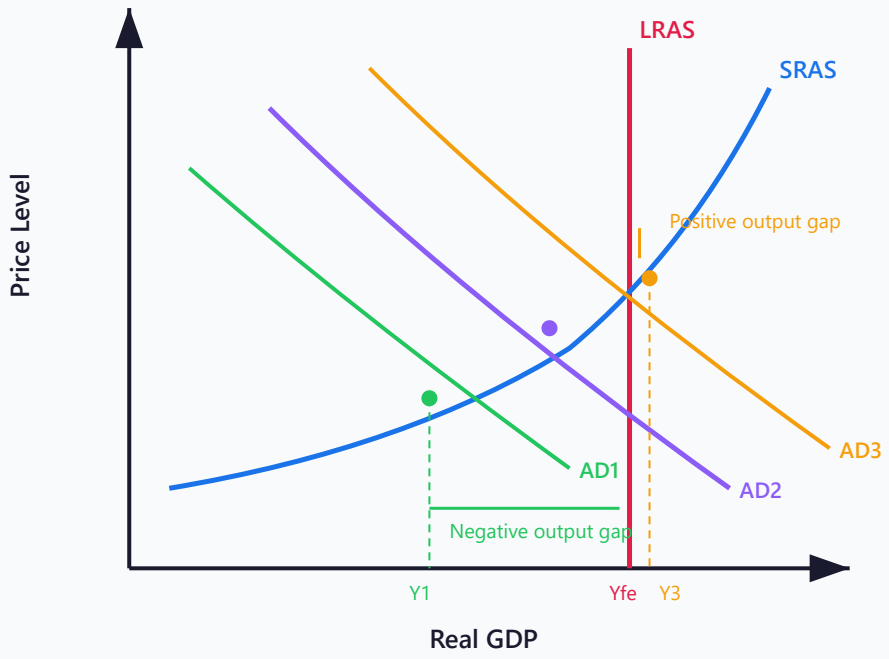


LRAS shifts right from LRAS1 to LRAS2, representing an increase in the economy's productive potential from Yfe1 to Yfe2.

AD/AS Equilibrium

Macroeconomic equilibrium occurs where AD intersects AS. In the short run, equilibrium is at the intersection of AD and SRAS. The equilibrium determines both the price level and the level of real GDP.



AD/AS equilibrium. AD1 gives a negative output gap (Y1 < Yfe). AD2 gives equilibrium at full employment. AD3 gives a positive output gap (Y3 > Yfe) with inflationary pressure.

Key points:

- If AD is to the left of Yfe: **negative output gap** — demand-deficient unemployment, low inflation, spare capacity
- If AD intersects SRAS beyond Yfe: **positive output gap** — overheating, demand-pull inflation, low unemployment, unsustainable
- Long-run equilibrium occurs where AD = SRAS = LRAS — the economy is at full employment with stable prices

The Multiplier Effect

The multiplier effect describes how an initial change in a component of AD (e.g. an increase in government spending or investment) leads to a proportionally larger final change in national income. One person's spending becomes another's income, which is then partly spent again, and so on.

The Process

1. Government spends £1bn on a new hospital (an injection into the circular flow)
2. Construction workers receive income. They spend, say, 80% (MPC = 0.8) on goods and services = £800m
3. Shopkeepers, suppliers etc. receive £800m. They spend 80% = £640m
4. This continues in diminishing rounds: £512m, £410m, £328m...
5. The total increase in national income is much larger than the initial £1bn injection

The Multiplier Formula

$$\text{Multiplier (k)} = 1 / (1 - \text{MPC}) = 1 / \text{MPW}$$

Where **MPW** (marginal propensity to withdraw) = MPS + MPT + MPM

$$k = 1 / (\text{MPS} + \text{MPT} + \text{MPM})$$

Example: If MPC = 0.8, then MPW = 0.2, and k = 1/0.2 = **5**. An initial £1bn increase in G leads to a £5bn increase in national income.

$$\text{Change in National Income} = \text{Multiplier x Initial Change in AD}$$

> **Exam Tip:** The multiplier works in reverse too. A fall in investment or government spending causes a multiplied contraction in national income. This is why recessions can be so severe — the negative multiplier amplifies the initial fall in AD.

Factors Affecting the Size of the Multiplier

Factor	Effect
High MPC (low savings rate)	Larger multiplier — more of each round of income is re-spent
Low tax rates	Larger multiplier — less income leaks to government at each round

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Low marginal propensity to import	Larger multiplier — spending stays within the domestic economy
Spare capacity in the economy	Larger real multiplier — firms can respond by increasing output rather than prices
Confidence levels	Higher confidence means higher MPC, amplifying the multiplier

Evaluation of the Multiplier:

- **Time lags** — the multiplier process takes time. The full effect may take 12-18 months to work through the economy.
- **Crowding out** — if government borrows to fund spending, interest rates may rise, reducing private investment and consumption, partially or fully offsetting the multiplier (classical view).
- **Inflationary pressure** — if the economy is near full capacity, the multiplier raises prices rather than real output.
- **Leakages** — in an open economy with high taxes and imports (like the UK), the multiplier is relatively small (estimated at 1.0-1.5 for the UK).
- **Difficult to measure** — it is hard to isolate the multiplier effect from other changes happening simultaneously.
- **Negative multiplier** — austerity (cutting G) has a multiplied contractionary effect, which can worsen a recession.

Causes of Inflation Using AD/AS

The AD/AS model illustrates the two main causes of inflation:

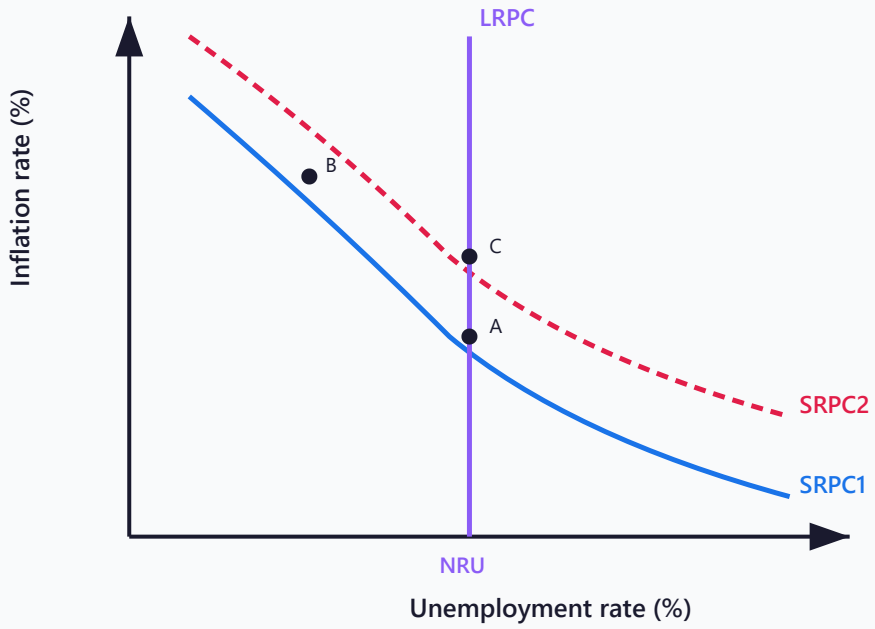
- **Demand-pull inflation:** AD shifts right (e.g. tax cuts, rate cuts, increased confidence). If the economy is near or beyond Yfe, the price level rises. The closer to full capacity, the more inflationary any AD increase is.
- **Cost-push inflation:** SRAS shifts left (e.g. oil price rises, wage increases, supply disruptions). This raises the price level while reducing real output — causing **stagflation** (simultaneous inflation and falling output/rising unemployment).

Exam Tip: In reality, inflation often has **both** demand-pull and cost-push elements simultaneously. The 2021-23 inflation episode involved supply chain disruptions (cost-push), energy price spikes (cost-push), and excess demand from fiscal/monetary stimulus (demand-pull). Always discuss both where relevant.

The Phillips Curve

The Phillips Curve shows the historical inverse relationship between the rate of unemployment and the rate of inflation. Originally observed by A.W. Phillips in 1958 using UK data (1861-1957), it suggested a stable trade-off: lower unemployment could be achieved at the cost of higher inflation, and vice versa.

Short-Run Phillips Curve (SRPC)



SRPC shows a short-run trade-off. LRPC is vertical at the NRU. Expansionary policy moves A to B; when expectations adjust, the SRPC shifts up and the economy moves to C (same unemployment, higher inflation).

The Long-Run Phillips Curve (LRPC) and the NRU

Natural Rate of Unemployment (NRU) is the rate of unemployment that exists when the labour market is in equilibrium — it includes frictional and structural unemployment but not cyclical. It is the rate consistent with stable (non-accelerating) inflation. Also called the **NAIRU** (Non-Accelerating Inflation Rate of Unemployment).

Monetarist/New Classical view (Friedman):

1. Economy starts at point A on SRPC1 — at the NRU with moderate inflation
2. Government uses expansionary policy to reduce unemployment. Economy moves along SRPC1 to point B — lower unemployment, higher inflation
3. Workers realise inflation has risen and demand higher wages (adaptive expectations). Costs rise, SRAS shifts left, unemployment returns to the NRU
4. But now the SRPC has shifted up to SRPC2, and the economy is at point C — back at the NRU but with **permanently higher inflation**
5. Conclusion: there is **no long-run trade-off**. The LRPC is vertical at the NRU. Attempting to reduce unemployment below the NRU only causes accelerating inflation

Evaluation: Keynesians argue the Phillips Curve trade-off can persist if workers have money illusion or if expectations are anchored by credible central bank policy. The breakdown of the Phillips Curve relationship during stagflation in the 1970s supported Friedman's critique. However, the relationship has also weakened in recent decades — the "flattening" of the Phillips Curve means that low unemployment has not generated much inflation (e.g. UK and US pre-COVID), possibly due to globalisation, weaker unions, or well-anchored inflation expectations.

Monetary Policy

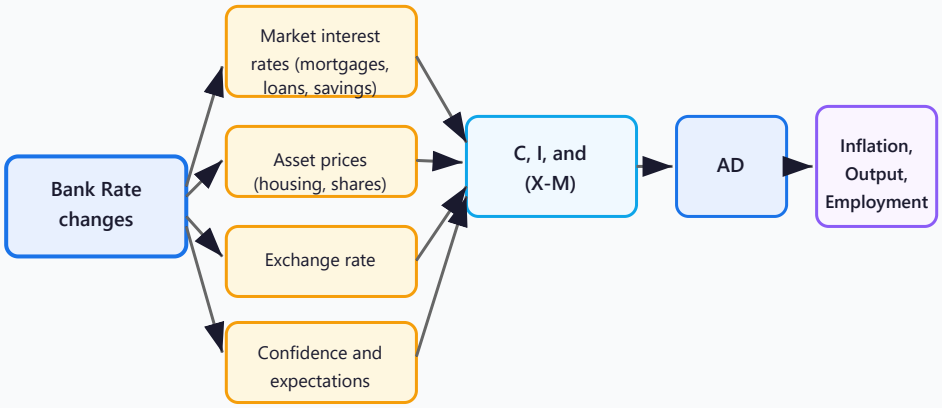
Monetary policy involves the use of interest rates, the money supply, and the exchange rate by the central bank to influence aggregate demand and achieve macroeconomic objectives — primarily price stability (the 2% CPI inflation target in the UK).

The Bank of England and the MPC

- The Bank of England was granted **operational independence** in 1997 by Gordon Brown. The government sets the inflation target (2% CPI); the Bank decides how to achieve it.
- The **Monetary Policy Committee (MPC)** has 9 members (the Governor, 4 internal members, 4 external members). It meets 8 times a year to set the **Bank Rate** (base interest rate).
- The MPC's primary objective is **price stability** (2% CPI +/- 1%). Subject to that, it must support the government's economic objectives (growth and employment).
- If inflation deviates more than 1 percentage point from target, the Governor must write an open letter to the Chancellor explaining why and what action is being taken.

The Transmission Mechanism of Monetary Policy

How a change in the Bank Rate affects the economy:



The transmission mechanism: Bank Rate changes feed through multiple channels to affect AD, output, employment and inflation. Time lag: typically 18-24 months for full effect on inflation.

How a rise in Bank Rate reduces inflation:

- **Saving and borrowing:** Higher rates increase the return on saving and the cost of borrowing. Consumers reduce spending (especially on durables bought on credit). Mortgage payments rise, reducing disposable income.
- **Investment:** Higher cost of borrowing and higher opportunity cost of using retained profits. Firms invest less.
- **Asset prices:** Higher rates tend to reduce house prices and share prices, reducing the wealth effect on consumption.

- **Exchange rate:** Higher rates attract hot money flows, appreciating the currency. This makes exports more expensive and imports cheaper, reducing net exports and reducing imported inflation.
- **Expectations:** A rate rise signals that the central bank is serious about controlling inflation, helping to anchor expectations.

Quantitative Easing (QE)

Quantitative Easing (QE) is an unconventional monetary policy tool used when interest rates are at or near the zero lower bound (so conventional rate cuts are no longer possible). The central bank creates new electronic money to purchase government bonds (gilts) and corporate bonds from financial institutions.

How QE works:

1. Bank of England creates new money electronically
2. Uses it to buy government bonds from banks and financial institutions
3. This pushes up bond prices, which pushes down bond yields (long-term interest rates)
4. Banks and institutions now hold cash instead of bonds — they should lend more
5. Lower long-term rates and greater credit availability stimulate C and I
6. Portfolio rebalancing: sellers of bonds buy other assets (shares, corporate bonds), pushing up asset prices and reducing borrowing costs for firms
7. Wealth effect: rising asset prices make people feel wealthier, boosting C

Case Study: Bank of England Rate Rises 2022-23

Facing CPI inflation that peaked at 11.1% in October 2022 (well above the 2% target), the MPC raised the Bank Rate 14 consecutive times, from 0.1% in December 2021 to 5.25% by August 2023 — the fastest tightening cycle in decades. The transmission mechanism worked through: (1) higher mortgage rates (average 2-year fix rose from under 2% to over 6%), squeezing household spending; (2) reduced business investment as borrowing costs rose; (3) sterling appreciated, dampening import price inflation. However, the lag meant inflation remained high well into 2023. Critics argued the BoE was too slow initially, allowing inflationary expectations to build. There were also concerns about overtightening, as much of the inflation was cost-push (energy prices), which monetary policy is less effective at addressing.

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Evaluation of Monetary Policy:

- **Strengths:** Independent (less political bias), flexible (can adjust quickly), well-understood transmission mechanism, forward guidance helps manage expectations
- **Weaknesses:**
  - **Time lags:** 18-24 months for full effect on inflation — risk of over/under-correction
  - **Asymmetric effects:** Rate rises may have a stronger effect than rate cuts (you can lead a horse to water...)
  - **Cost-push inflation:** Rate rises cannot address supply-side causes (e.g. oil price shocks). Raising rates when inflation is cost-push risks worsening the recession (stagflation dilemma)
  - **Distributional effects:** Rate rises hit mortgage holders and borrowers hardest. Rate cuts benefit asset owners.
  - **Liquidity trap:** At the zero lower bound, further rate cuts are impossible. QE effectiveness is debated.
  - **QE risks:** Asset price bubbles, increased inequality (benefits asset owners), potential future inflation if money creation is not reversed
  - **Blunt instrument:** One interest rate for the entire economy — cannot target specific sectors or regions

Fiscal Policy

Fiscal policy involves the use of government spending (G) and taxation (T) to influence aggregate demand and achieve macroeconomic objectives. It is set by the government (HM Treasury) and announced in the Budget.

Expansionary vs Contractionary Fiscal Policy

	Expansionary	Contractionary
Action	Increase G and/or cut T	Cut G and/or raise T
Effect on AD	AD shifts right	AD shifts left

Purpose	Boost growth and employment during recession	Reduce inflation or budget deficit
Budget impact	Moves towards deficit	Moves towards surplus

Budget Deficit, Surplus, and the National Debt

Budget deficit: Government spending exceeds tax revenue (G > T) in a given year. The deficit must be funded by borrowing.

Budget surplus: Tax revenue exceeds government spending (T > G). The surplus can be used to repay debt.

National debt: The total accumulated borrowing of the government over time. UK national debt reached over 100% of GDP by 2023, partly due to COVID spending.

Automatic Stabilisers

Automatic stabilisers are built-in features of the tax and benefits system that automatically dampen fluctuations in the economic cycle without any deliberate policy change.

- **In a recession:** Incomes fall, so income tax revenue falls automatically. Unemployment rises, so benefit spending rises automatically. This automatically boosts AD (or at least reduces the fall), stabilising the economy.
- **In a boom:** Incomes rise, so tax revenues rise automatically (especially with progressive taxation). Fewer people claim benefits. This automatically dampens AD, reducing inflationary pressure.

Automatic stabilisers work quickly and without political delay, but they cannot prevent recessions — only reduce their severity.

Discretionary Fiscal Policy

Deliberate changes in G and T made by the government, such as:

- Building new infrastructure (HS2, hospitals, roads)

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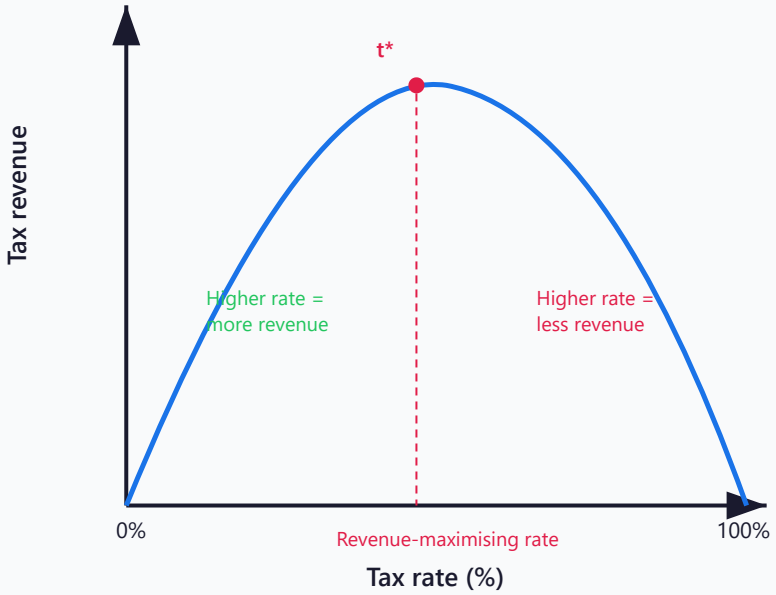
- Changing income tax rates or thresholds
- Cutting VAT temporarily (e.g. hospitality VAT cut to 5% in 2020)
- Introducing new spending programmes (furlough scheme)

The Laffer Curve

The Laffer Curve shows the theoretical relationship between tax rates and tax revenue. It suggests that beyond a certain optimal tax rate, further increases in the rate actually reduce total tax revenue because they discourage work, enterprise, and investment, and encourage tax avoidance/evasion.



The Laffer Curve: tax revenue rises with the tax rate up to t (the optimal rate), then falls. At 0% and 100%, revenue is zero.*

Evaluation of the Laffer Curve: The concept is theoretically sound, but the optimal rate (t*) is very difficult to determine in practice. Supply-side economists (e.g. Reagan, Thatcher) used it to justify tax cuts, but empirical evidence is mixed — most developed economies are probably on the left side of the curve where cuts reduce revenue. The curve is a useful framework for thinking about incentive effects of taxation, but should not be used to justify all tax cuts.

Case Study: UK Austerity 2010-15

The Coalition government (2010-15) implemented a programme of fiscal consolidation ("austerity") to reduce the budget deficit, which had reached 10% of GDP after the 2008 financial crisis and subsequent bank bailouts. Key measures included: public sector pay freezes, welfare cuts, departmental spending cuts of 25-40%, and a VAT rise from 17.5% to 20%. Supporters argued it was necessary to restore fiscal credibility and keep bond yields low. Critics (including many Keynesian economists) argued that austerity during a fragile recovery weakened growth, increased unemployment, and prolonged the downturn — the negative multiplier effect of spending cuts reduced tax revenues, making deficit reduction self-defeating. The IMF later acknowledged that fiscal multipliers were larger than initially estimated, suggesting austerity had a more contractionary impact than expected. UK real GDP per capita did not regain its pre-crisis level until 2015.

Evaluation of Fiscal Policy:

- **Strengths:** Can target specific groups (e.g. tax cuts for low earners have a high multiplier), can address both demand and supply sides, automatic stabilisers work quickly
- **Weaknesses:**
  - **Time lags:** Recognition lag (identifying the problem), decision lag (political process), implementation lag (building infrastructure). By the time policy takes effect, the cycle may have moved on.
  - **Political influences:** Governments may use fiscal policy for electoral gain (e.g. pre-election tax cuts) rather than economic need
  - **Crowding out:** Government borrowing may raise interest rates and/or reduce private sector borrowing and spending
  - **Rising national debt:** Persistent deficits increase debt servicing costs (interest payments), consuming a growing share of government revenue
  - **Ricardian equivalence:** Consumers may anticipate that today's borrowing means tomorrow's tax increases, so they save more now, offsetting the fiscal stimulus
  - **Difficulty of cutting G:** Much government spending (NHS, pensions, debt interest) is hard to cut — only a small proportion is truly discretionary

Supply-Side Policies

Supply-side policies aim to increase the productive capacity of the economy (shifting LRAS right) by improving the efficiency and productivity of markets, especially labour and product markets. They address the *long-run* trend rate of growth.

Market-Based (Free Market) Supply-Side Policies

Policy	How it shifts LRAS right	Examples
Income tax cuts	Increase the incentive to work (substitution effect), increasing labour supply	Thatcher cut top rate from 83% to 40% (1988)
Corporation tax cuts	Increase post-tax profits, encouraging investment in capital and innovation	UK cut from 28% to 19% (2010-17)
Deregulation	Reduces barriers to entry, increases competition, lowers costs for firms	Deregulation of financial markets (Big Bang 1986), telecoms, energy
Privatisation	Private firms are more profit-driven and efficient than state-owned enterprises	BT, British Gas, British Airways (1980s-90s)
Trade union reform	Reduces union bargaining power, making labour markets more flexible and reducing cost-push pressures	Thatcher's Employment Acts (1980, 1982, 1990)
Benefit reform	Reduces the replacement ratio (benefits relative to wages), increasing the incentive to work	Universal Credit, benefit caps, sanctions
Free trade agreements	Increases competition, specialisation, and efficiency through trade	EU Single Market membership, WTO agreements

Interventionist Supply-Side Policies

Policy	How it shifts LRAS right	Examples

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Education and training	Increases human capital and labour productivity; reduces structural unemployment	Apprenticeship levy (2017), T-Levels, university expansion
Infrastructure investment	Reduces transport costs, improves connectivity, attracts investment	HS2, Crossrail, broadband rollout, road building
R&D subsidies / tax credits	Encourages innovation and technological progress, raising productivity	R&D tax credits, Innovate UK grants, Catapult centres
Healthcare spending	A healthier workforce is more productive, with fewer days lost to illness	NHS investment, public health campaigns
Regional policy	Reduces geographical immobility, spreads growth more evenly	Enterprise zones, "levelling up" agenda, regional development funds
Industrial policy	Government supports specific sectors with potential for growth	Green energy subsidies, semiconductor strategy, creative industries support

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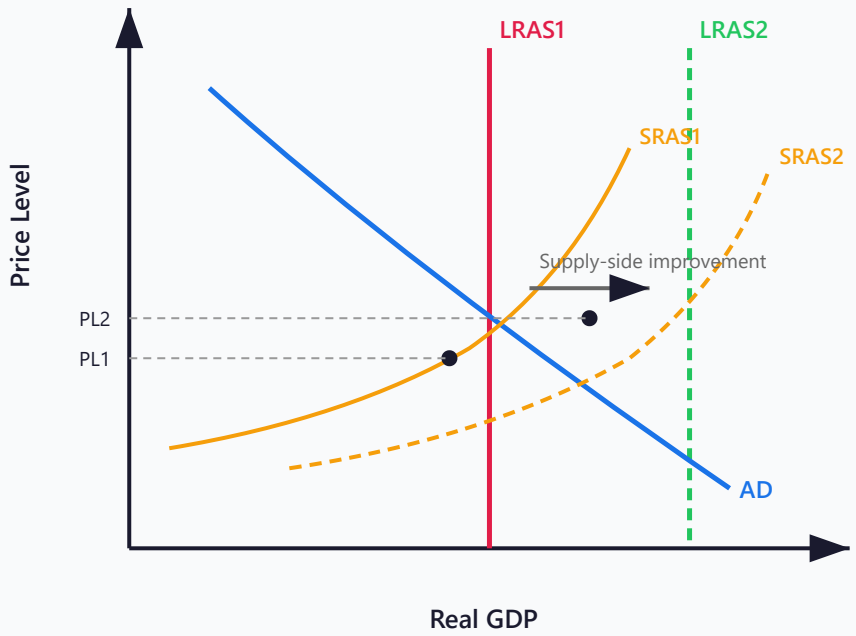

Successful supply-side policies shift both LRAS and SRAS right, increasing potential output from Yfe1 to Yfe2 and reducing the price level from PL1 to PL2 — achieving non-inflationary growth.

Case Study: Thatcher Supply-Side Reforms (1979-90)

Margaret Thatcher's government implemented radical supply-side policies aimed at improving the UK's productive efficiency. Key reforms included: (1) **Trade union reform** — the Employment Acts of 1980 and 1982, and the Trade Union Act 1984 restricted secondary picketing, required secret ballots before strikes, and weakened closed shops. Union membership fell from 13 million to 10 million. (2) **Privatisation** — selling state-owned industries (BT, British Gas, British Steel, British Airways, water companies) to the private sector. (3) **Deregulation** — the "Big Bang" of 1986 deregulated financial markets, establishing London as a global financial centre. (4) **Income tax cuts** — top rate cut from 83% to 40%, basic rate from 33% to 25%. Results were mixed: productivity growth improved significantly, inflation fell (from 18% to 4%), and the economy became more flexible. However, inequality rose sharply (Gini coefficient increased), unemployment peaked at over 3 million in 1983, and manufacturing employment fell dramatically as uncompetitive firms closed, concentrating deprivation in industrial regions (the North-South divide).

Evaluation of Supply-Side Policies:

- **Strengths:**

  - Can achieve non-inflationary growth (output rises without price pressure)
  - Improve international competitiveness
  - Reduce the natural rate of unemployment (shifting LRPC left)
  - Can benefit all: higher productivity enables higher wages and lower prices
- **Weaknesses:**
  - **Long time lags:** Education, infrastructure, and R&D take years or decades to have full effect
  - **High cost:** Infrastructure and education require large upfront spending (opportunity cost)
  - **Inequality:** Market-based policies (tax cuts, deregulation) can widen inequality
  - **Uncertain outcomes:** Tax cuts may not increase labour supply if the income effect dominates; deregulation may reduce quality or safety
  - **Environmental costs:** Deregulation and growth-focused policies may worsen environmental outcomes
  - **Cannot address demand-deficient recessions:** Supply-side policies do not directly boost AD

Policy Conflicts and Trade-Offs

Governments pursue multiple macroeconomic objectives simultaneously: low inflation, low unemployment, economic growth, current account balance, environmental sustainability, and reduced inequality. These objectives often **conflict**, requiring trade-offs.

Key Policy Conflicts

Conflict	Explanation
Growth vs Inflation	Rapid growth (AD rising) may cause demand-pull inflation if the economy approaches full capacity. Policies to boost growth may conflict with the inflation target.
Unemployment vs Inflation	The Phillips Curve trade-off: reducing unemployment below the NRU causes accelerating inflation. Policies to cut inflation (rate rises) increase unemployment.

Growth vs Current Account	Strong growth increases consumer incomes, drawing in imports and worsening the current account deficit. Export-led growth avoids this conflict.
Growth vs Environment	Higher output may increase carbon emissions, pollution, and resource depletion. Green growth or supply-side policies focused on clean technology can reduce this conflict.
Inflation vs Current Account	Tight monetary policy to reduce inflation may appreciate the exchange rate, making exports expensive and potentially worsening the current account.
Equity vs Efficiency	Redistributive taxation may reduce incentives to work and invest (efficiency cost), but laissez-faire policies may increase inequality.
Short-run vs Long-run	Fiscal austerity may harm growth in the short run but improve the fiscal position in the long run. Supply-side policies take years to work but deliver lasting benefits.

Exam Tip: The best 25-mark answers discuss policy conflicts explicitly. For any policy recommendation, identify which objectives benefit and which may suffer. Then evaluate whether the trade-off is worth it given current economic conditions. For example: "While raising interest rates will reduce demand-pull inflation, it risks increasing unemployment and worsening a fragile recovery — the MPC must weigh these trade-offs carefully given that much of the current inflation is cost-push in nature."

How to Resolve Policy Conflicts:

- **Policy mix:** Use monetary and fiscal policy together (e.g. tight monetary + loose fiscal to rebalance AD while maintaining growth)
- **Supply-side policies:** Can reduce multiple conflicts simultaneously — shifting LRAS right enables lower inflation AND higher growth AND lower unemployment
- **Sequencing:** Address different objectives at different times (e.g. stimulate growth first, then consolidate finances)
- **Prioritisation:** In the short run, the government may need to accept higher inflation to prevent mass unemployment during a recession, then address inflation as recovery takes hold

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Final Revision Tip — Linking Everything Together: Theme 2.2 is about policy responses. Every essay should: (1) identify the problem using AD/AS or Phillips Curve diagrams, (2) explain a policy response (monetary, fiscal, or supply-side), (3) evaluate using the transmission mechanism, multiplier, time lags, and policy conflicts, and (4) consider short-run vs long-run effects. The strongest answers combine demand-side and supply-side analysis and reach a supported judgement about the best policy approach given the specific economic circumstances described in the question.

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